Question #1 of 26

Question ID: 1675594

A money manager works for a full-service brokerage firm. After meeting with a new client and gathering all relevant information, the money manager says that she thinks her firm can perform all the financial services the new client needs. With respect to Standard I(C): Misrepresentation, this:

A) may not be a violation if the representation was made orally.

B) may not be a violation if the manager's opinion is based upon the factual information gathered.

C) is a violation because she cannot make statements like this under any circumstances.

Question #2 of 26

Question ID: 1675599

According to CFA Institute Standards of Professional Conduct, which of the following statements about the prohibition against plagiarism is *most correct*? The prohibition against plagiarism applies to:

A) written materials only.

B) written materials and oral communications.

C) written materials, oral communications, and telecommunications.

Question #3 of 26

Question ID: 1675617

An investment advisor takes a trip for which his firm will pay the expenses. Upon his return, he alters some of the numbers on restaurant receipts to inflate the expenses by $64. Is this a violation of Standard I(D)?

A) Yes, because the amount involved is over $50.

B) Yes, because it reflects adversely on the charterholder’s professional reputation.

C) No, if such a crime carries less than a one-year prison term.

Question #4 of 26

Question ID: 1675616

Nancy Hall, a candidate in the CFA Program, is an analyst for a mutual fund. As part of her job, she makes company visits to interview executives. On a recent trip, she stayed with her sister instead of at a hotel. In her expenses, Hall included a hotel charge of $100, which was less than the amount allowed by her employer. After receiving a check for her expenses, Hall disclosed to her supervisor that she had stayed with her sister instead of at a hotel. She also returned the $100 to her employer. According to CFA Institute Standards of Professional Conduct, which of the following statements *best* describes Hall's professional conduct?

A) Hall did not engage in professional misconduct because she did not meet all of the requirements to use the CFA designation.

B) Hall did not engage in professional misconduct because she eventually disclosed this information and returned the $100 to her employer.

C) Hall engaged in professional misconduct.

Question #5 of 26

Question ID: 1675615

A CFA charterholder in a managerial position is in the process of hiring new analysts. If the charterholder conducts background checks on the job applicants with respect to their character, the charterholder has:

A) complied with Standard VII(A) concerning conduct of members and candidates in the CFA Program.

B) violated the Code of Ethics by invading the applicants' privacy.

C) complied with Standard I(D) concerning professional misconduct.

Question #6 of 26

Question ID: 1675614

Which of the following does not violate Standard I(D): Misconduct regarding Roland Lawson, a financial analyst?

A) Lawson is arrested for participating in a nonviolent protest.

B) Lawson committed perjury in connection with a lawsuit against his firm.

C) Lawson drinks excessively during business meetings with clients and returns to work under the influence of alcohol.

Question #7 of 26

Question ID: 1675598

All of the following violate Standard I(C): Misrepresentation except:

A) presenting factual information published by recognized statistical reporting services without acknowledgment.

B) citing quotes attributable to "investment experts" without specific references.

C) copying a proprietary computerized spreadsheet without seeking authorization from the creators.

Question #8 of 26

Question ID: 1675593

A CFA charterholder gathers the closing prices of a security from a widely read publication. The charterholder uses the data as part of a report she is preparing and fails to report the data source in the report. This is:

A) not a violation of Standard I(C) if the data cannot be gathered from several public sources.

B) a violation of Standard I(C).

C) not a violation of Standard I(C) if the data can be gathered from several public sources.

Question #9 of 26

Question ID: 1675595

According to CFA Institute Standards of Professional Conduct, which of the following is *least likely* a form of misrepresentation?

A) Using factual information published by recognized financial and statistical reporting services or similar sources without acknowledgment.

B) Attributing specific quotations to "leading analysts" and "investment experts" without specific reference.

C) Presenting statistical estimates of forecasts prepared by others with the source identified, but without qualifying statements or caveats that may have been used.

Question #10 of 26

Question ID: 1675597

An analyst preparing a report needs to cite which of the following?

A) The individual who developed a chart from the same firm.

B) Estimates of betas provided by Standard & Poor's.

C) A recent quote from the Federal Reserve chairman.

Question #11 of 26

Question ID: 1675613

A CFA charterholder is caught shoplifting and is sentenced to nine months in prison. Is this a violation of Standard I(D): Misconduct?

A) Yes, because the crime involved stealing.

B) Yes, because the prison sentence is more than six months.

C) No, because the crime does not relate to the investment profession.

Question #12 of 26

Question ID: 1675618

All of the following are violations of Standard I(D): Misconduct except:

A) any conduct that undermines confidence that the CFA charter represents a level of achievement based on merit and ethical conduct.

B) the conviction of a crime involving fraud.

C) the conviction of a misdemeanor involving civil disobedience in support of one’s personal beliefs.

Question #13 of 26

Question ID: 1675602

Sandra Bulow, CFA, is responsible for updating her employing firm's website to include changes in analysis techniques and trading procedures. She is often very delinquent in making these changes, despite working extensive hours. She is aware that clients are using the website to make investment decisions, and she has received complaints from the sales department because the information on the website is often different from what is presented in sales meetings. Bulow is *most likely*:

A) not in violation of any Standard.

B) in violation of Standard III(B): Fair Dealing.

C) in violation of Standard I(C): Misrepresentation.

NQX Partners is a Los Angeles-based investment firm specializing in the equities of natural resources companies, both as an underwriter of secondary issues and as a market maker. Paula Braman, CFA, an analyst at NQX, is putting together a research report on Melbourne Gold (MG), an Australian firm. She is in possession of a report distributed by a little-known Brisbane brokerage firm, Ipswich, which has several CFA charterholders on the staff. Braman also uses market data available from the financial press and recognized statistical sources. In her report, she uses several unaltered paragraphs and data tables from the Ipswich report as well as financial data from the other sources. For neither of these does she provide acknowledgment of the original source.

Braman attended a lunch-time presentation put on by MG for representatives of NQX and other firms. During the meeting, Braman agrees to accept a trip to Australia to visit MG's operations as well as spend several days touring Australia at MG's expense. Braman had a few drinks at the lunchtime presentation. On the way back to the office, she was arrested for driving while intoxicated (DWI), and this is her second offense.

Braman recently hired a personal assistant, who will be partly paid by her and partly paid by NQX. The assistant had passed the Level I CFA exam before being hired. Knowing that Braman had the CFA designation, during the application process the assistant mentioned having passed the exam both on his resume and in the interview.

For the past 10 years, Braman has served as a proctor for the CFA exam. Braman tells her assistant that she normally receives the examinations on the Thursday before the exam. Given the low pass rate at Level II, Braman asks her assistant if she would like an advance copy of the next exam. Braman's assistant declines the offer. However, Braman's assistant has been very vocal about expressing opinions about the low pass rate. The assistant claims, "CFA Institute is simply trying to increase its cash flow by continuing to fail candidates."

Initially, Braman only had the assistant type up routine forms, stuff envelopes, screen calls, and schedule meetings. The assistant did nothing related to analysis or decision-making. Braman has been pleased with the work of the assistant and often tells associates that she "has a Level I CFA as an assistant." Recently, Braman has allowed the assistant to write portions of preliminary reports, which Braman reviews before incorporating them into the final reports.

Question #14 - 19 of 26

Question ID: 1675604

With respect to the use of information in the report on MG, Braman was:

A) not in violation of the Standards.

B) in violation of the Standards in the use of the Ipswich report, but not in the data from the other sources.

C) in violation of the Standards in the use of all the sources of data.

Question #15 - 19 of 26

Question ID: 1675605

With respect to Braman's drinking and being arrested for a DWI, Braman was:

A) in violation of the Standards with respect to both the drinking and the DWI arrest.

B) not in violation of the Standards.

C) in violation of the Standards with respect to the DWI arrest, but not in the drinking itself.

Question #16 - 19 of 26

Question ID: 1675606

If Braman accepts the trip to Australia as offered by MG, based on the given information, she is:

A) not in violation of the Standards if the trip's value is not in excess of $1,000.

B) not in violation of the Standards, and the value of the trip is not important.

C) in violation of the Standards.

Question #17 - 19 of 26

Question ID: 1675607

There was a misuse of the CFA designation by:

A) both Braman and the assistant.

B) neither Braman nor the assistant.

C) Braman, but not the assistant.

Question #18 - 19 of 26

Question ID: 1675608

With respect to Standard VII(A): Conduct as Participants in CFA Institute Programs:

A) Neither Braman nor her assistant are in violation of the Standard.

B) Braman is in violation of the Standard, but her assistant is not in violation.

C) Both Braman and her assistant are in violation of the Standard.

Question #19 - 19 of 26

Question ID: 1675609

Braman tells her assistant that she is writing a more favorable report on MG than is warranted to secure a big bond underwriting deal with MG in the near future. She is doing this at the order of the senior management of NQX. Braman gives the assistant her report on MG to type up for dissemination. The assistant types the report and helps in its dissemination. With respect to this:

A) Braman is in violation of the Code and Standards, but the assistant is not.

B) neither the assistant nor Braman are in violation of the Code and Standards.

C) both the assistant and Braman are in violation of the Code and Standards.

Question #20 of 26

Question ID: 1675612

An analyst belongs to a nationally recognized charitable organization, which requires dues for membership. The analyst has worked out a deal under which he provides money management advice in lieu of paying dues. While performing services for the organization, the analyst discovers some useful computer programs that his predecessor developed and left as the property of the organization. The analyst decides to use the computer programs in his consulting business. This action is:

A) a violation of Standard I(D) concerning misconduct.

B) a violation of Standard III(B) concerning fair dealing.

C) appropriate because the analyst is technically an employee of the organization.

Question #21 of 26

Question ID: 1675610

A CFA charterholder who comes to work intoxicated is:

A) in violation of Standard I(D) concerning professional misconduct.

B) not in violation of the Standards.

C) in violation of Standard IV(A) concerning duties to the employer.

Question #22 of 26

Question ID: 1675611

Timothy Hooper, CFA, is a security analyst at an investment firm. In his spare time, Hooper serves as a volunteer for City Pride, which collects clothes for the homeless. Hooper has occasionally given some of the clothes to his friends or sold the clothes instead of returning all of the clothing to City Pride. City Pride discovers what he has been doing and dismisses him. Later, City Pride learns that other volunteer organizations have dismissed Hooper for similar actions. Has Hooper violated Standard I(D) on professional misconduct in the CFA Institute Standards of Professional Conduct?

A) No, because Hooper's conduct is unrelated to his professional activities as a security analyst.

B) Yes.

C) No, because Hooper volunteers his services to City Pride.

Question #23 of 26

Question ID: 1675600

The following information involves two research analysts at a brokerage firm:

- Erik Bagenot, CFA, is preparing a research report on Global Enterprises, Inc. In preparing the report, he uses materials from many sources. For example, he uses factual information published by Standard & Poor's Corporation without acknowledging the source. He also uses excerpts from a research report prepared by another analyst. Bagenot makes only a slight change in wording for these excerpts, but he acknowledges the source.
- Sally Wain, who is currently enrolled in the CFA Program, is preparing a research report on Manson Telecommunications. She attends a conference in which several investment experts provide their views about the future prospects of this company. Wain cites several quotations from these investment experts in her report without specific reference.

According to CFA Institute Standards of Professional Conduct involving prohibition against plagiarism, which of the following statements is correct?

A) Bagenot violated the Standards, but Wain did not.

B) Both Bagenot and Wain violated the Standards.

C) Wain violated the Standards, but Bagenot did not.

Question #24 of 26

Question ID: 1675596

At the time of its initial public offering (IPO), a mutual fund is invested primarily in junk bonds. As part of its strategy, it is also invested in some zero-coupon U.S. Treasury bonds. The amount of the investment in the Treasury bonds is such that their maturity value equals 90% of the current value of the fund. Which of the following may a CFA Institute member say to her clients concerning the fund at issuance?

A) A CFA Institute member may not make either of these statements.

B) Because the fund is backed by the U.S. government, you know you will get your money back.

C) The fund is virtually default risk free.

Question #25 of 26

Question ID: 1675592

Marc Randall, CFA, is an investment analyst. During a meeting with a potential client, Randall's boss states, "You can be sure our investments will always outperform Treasury bonds because of our fine research staff members, like Marc." Randall knows that this statement is:

A) not a violation of the Code and Standards.

B) a violation of fiduciary duties owed to clients under the Standards.

C) a violation of the Standard concerning prohibition against misrepresentation.

Question #26 of 26

Question ID: 1675601

Wes Smith, CFA, has been working toward the completion of a master of science degree in finance. He has passed all the necessary courses and written the necessary thesis. He still must defend the thesis in one month. Smith's thesis advisor assures him that he will pass the thesis defense. Smith has new business cards printed with "MS in Finance" after his name. This is a violation of:

A) Standard I(C): Misrepresentation.

B) Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program.

C) none of the Standards if Smith does not make the cards public until after he defends his thesis and receives his degree.